

COST CUTTING

An across the board cut is the fastest way to cut exactly what was making the difference.

How to cut cost without killing the operation.

AND THE CONSEQUENCE

A cut is not a percentage, it is triage.

THE CASCADE

The same percentage for everyone.

WHAT YOU SEE

The target arrives as ten percent for every area.

THE MECHANISM

Each area hands over the easiest piece to remove, not the least important one.

THE CONSEQUENCE

Six months later you are missing what nobody thought was essential.

An across the board cut rewards whoever had fat and punishes whoever was already lean.

THE FORK

Does the client miss this?

DOES THE CLIENT MIS...

01

Does the client notice if it disappears?

that is muscle, do not touch it

02

Does only the team notice if it disappears?

that is support, it can be simplified

03

Does nobody notice if it disappears?

that is fat, remove it today

If nobody misses it in ninety days, it was already dead before the cut.

THE METHOD

The Scalpel, four destinations.



01 KEEP

what the client recognizes as value, it never enters the list

02 KEEP IN HOUSE

the capability only you do well, and that holds up the rest

03 OUTSOURCE WITH OVERSIGHT

what someone does better, with a contract, a measure and an inside owner

04 CUT

what nobody misses, no replacement and no ceremony

Outsourcing with no inside owner does not cut cost. It transfers control and keeps the bill.

WHAT TO ASK, IN ORDER

Four questions per cost line.

01 • KEEP

Does the client recognize this in what they buy?

if yes, it left the cut list

02 • KEEP IN HOUSE

Is this what we do better than anyone else?

a core capability does not get outsourced

03 • OUTSOURCE WITH OVERSIGHT

Does someone do this better and cheaper?

and who owns the contract on the inside

04 • CUT

What happens if this simply disappears?

if the answer is nothing, you already have your answer

TWO MODELS

Two ways to remove the same amount.

THE COMMON MODEL

Across the board

The same percentage for everyone

Each area picks the easiest piece

Outsources to move it off payroll

Measures by the quarter's number

THE DESIGNED MODEL

Triage

A different percentage by nature of the spend

The choice follows value to the client

Outsources with an owner and a measure inside

Measures by what the operation can take afterward

MISTAKE AND CONSEQUENCE

Three cuts that come back more expensive.

01 Cutting the capability that differentiates you.

- you save this year and lose your reason to exist next year.

02 Outsourcing with no inside owner.

- you become a hostage, pay the same and lose control of quality.

03 Cutting without looking at the whole flow.

- you remove a bottleneck on one side and create two on the other.

Every badly made cut returns as an emergency cost, and emergencies are always dearer.

THE CHAIN

The suspension test.

01

Suspend the activity for ninety days, with no replacement.



02

See who complains first, and whether the client is on the list.



03

If nobody complains, the cut was already decided.



WHERE LEADERSHIP STEPS IN

Suspending is reversible. Cutting is not. Start with what you can undo.

RUN IT THIS WAY NEXT TIME

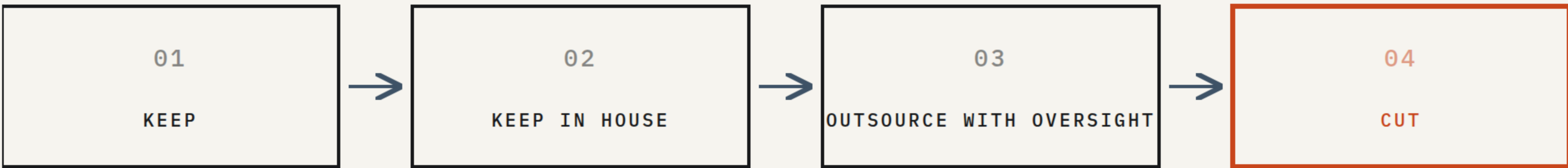
Three moves before the next cut.

		
STEP 01	STEP 02	STEP 03
Sort every line into one of the four destinations.	Mark the two capabilities that never leave.	Suspend before eliminating wherever you can.
no line is left without a declared destination	out loud, before any negotiation	ninety days cost less than undoing a mistake

The conversation changes when the cut stops being a target and becomes a declared choice.

THE MODEL THAT STICKS

The Scalpel, in the order that matters.



A cut is not a percentage. It is triage with a name and a destination.

SAVE THIS FOR LATER

on the next cost target that arrives from above.

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MANAGEMENT AS ENGINEERING
/IN/FALERCIA